

The 10-Point Checklist That Fixes Stockouts & Overordering

Ten expert-tested checks you can run in under five minutes.

1

Set a reorder point for every SKU

Calculate (average daily sales x lead time) + safety stock for each product. Never reorder on gut feeling — a fixed trigger point stops both panic-buying and stockouts.

2

Rank inventory with an ABC analysis

Split stock into A (top 20% by revenue), B, and C tiers. Review A-items weekly, B-items monthly, and C-items quarterly so your attention matches the money at risk.

3

Track sell-through rate, not just stock on hand

A full shelf can still be a warning sign. If sell-through is falling, more stock is coming in than is going out — that's overordering in slow motion.

4

Build lead-time buffers per supplier, not per product

Slow or unreliable suppliers need bigger safety stock than fast, local ones. One blanket buffer for all vendors guarantees you'll be wrong for most of them.

5

Run a weekly stockout risk report

Flag any SKU projected to hit zero before the next delivery date. Five minutes every Monday catches gaps before customers do.

6

Kill dead stock before it blocks cash flow

Any item with no movement in 60-90 days should be discounted, bundled, or returned to the supplier. Dead stock quietly funds your next overordering mistake.

7

Sync purchasing with actual demand forecasts

Base orders on a rolling average of recent sales plus seasonality, not last year's purchase order. Demand shifts faster than most reorder habits do.

8

Use a single source of truth for stock counts

Spreadsheets, POS, and warehouse counts drifting apart is the #1 hidden cause of both stockouts and duplicate orders. One system, updated in real time, ends the guesswork.

9

Set min/max levels and let the system flag exceptions

Once min/max thresholds are set, you only need to review what's flagged — not every single line item. This is how a 5-minute daily check becomes possible.

10

Audit your top 10 SKUs every Friday

Your highest-revenue products deserve a manual eyeball check weekly, regardless of what the system says. Automation should support this, never fully replace it.

Ready to stop guessing and start forecasting?

Run this checklist every Friday — consistency beats perfection, and it costs nothing but five minutes.